Gold Miners Just Rallied Nearly 50%. Why They May Still Be Cheap

Podcast: Know your risk

AI Executive Summary

1. Core Thesis: The episode advocates for a value-driven investment approach in an economically and geopolitically ambiguous environment, arguing that historical yield signals and traditional recession predictors have lost reliability. The host critiques the risks of US geopolitical intervention in the Middle East regarding inflationary impact while highlighting undervalued opportunities in gold mining compared to exorbitant tech valuations. Ultimately, the strategy suggests seeking deep value in international resources and specific mining assets during market dips rather than chasing high-beta growth stocks or relying on bond yields for economic forecasting.

2. Key Arguments & Data:

3. **Yield Confusion & Bond Market:** The host expresses confusion regarding recent Treasury yield movements (30-year at ~5.3%), noting that the market is currently noisy and historical indicators (like yield curve inversions predicting recessions) have broken down significantly. He argues yields are currently driven more by central bank policy (QE/Fed) than fundamental economic conditions.
4. **Geopolitical Risk Assessment:** A "reliable source" with connections to decision-makers suggests JD Vance opposed intervention, but General Dan Cain convinced Trump that Israel can handle the conflict alone. The host views this as a risky gamble ("threading a needle") given the potential for high downside risks (long-duration war, inflation, oil shortages).
5. **Equity Performance:**
    - **Software/Tech:** Adobe and DocuSign have recovered strongly from previous lows. Salesforce reported 31% net margins and 22x earnings multiple; host is skeptical of the sustainability/real value but acknowledges it currently trades reasonably compared to tech history. NVIDIA showed expected growth.
    - **Gold & Miners (GDX):** Gold miners rallied sharply (approx. 50% increase) from mid-July lows. The host views GDX as

potentially overbought given the straight upward movement and advises against buying new positions at these peaks.

6. **Valuation Opportunities:** A specific undervalued mining holding is highlighted: a company with >2 million ounces of gold in ground and silver byproducts, trading at a market cap of $1-2 billion. The company recently spent $500 million refurbishing an autoclave facility (estimated total permitting/build cost was $1.5-2 billion), meaning the stock trades near the replacement cost of its key infrastructure for gold reserves that generate revenue.

7. **Market Outlook:** The host does not see compelling reasons to be bearish but lacks a bullish one either, viewing the market as "chessboard" with too many unknowns. He believes markets will likely drift higher without a sustained rally in US equities unless international assets and natural resources move in tandem (which has happened for two years).

8. Actionable Takeaways:

9. **Re-evaluate Yield Indicators:** Do not assign historical weight to yield curves as recession predictors; treat bond yields as noisy data influenced more by Fed/Government policy than economic fundamentals.
10. **Seek Value in "Forgotten" Sectors:** Look for opportunities where companies trade near the asset's replacement cost or valuation logic (e.g., gold mining firms with production assets priced low) rather than growth speculation found in tech.
11. **Wait for Miners Pullbacks:** If looking to add exposure to gold miners, wait for a better entry point as current momentum suggests potential overbought conditions similar to previous straight runs.
12. **Prioritize International Assets:** If expecting US markets to rally in the second half of the year, plan accordingly by prioritizing international resources and natural resources over pure domestic equities to avoid inflationary drag.
13. **Deep Dive into Tech Margins:** Do not bet on multiple expansion for companies like Salesforce without verifying the realism of reported margins (e.g., 31% net margins) and revenue quality.

14. **Monitor Seasonality:** Be aware that mid-September through mid-October historically presents a difficult period for equity markets, requiring caution during this window.

Full Transcript

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And we are back with another edition of the daily dots and I am not joined by the brain trust He was he had another engagement another podcast. He was gonna be on today and we're I had some other stuff going on. So we're coming in a little bit late, but I'm gonna do the rundown not a whole lot going on today A lot of people fired up about invidians and and some of the tech earnings out there certainly not bad Kind of left me wanting in the sense that I thought the results were to be expected Not all good not all bad As far as NVIDIA goes great growth, but we'll get into that, but let's let's go down the run down here To start us off so SMP up point seven two cues up 1.4 oil WTI 8361 pretty great pretty quiet a little bit of noise on the day, but not a whole lot going on Um, the rhetoric out of the Middle East stuff just continues to be a blender. Um, yeah, I, your readout on that situation depends almost entirely on who you last heard talk about it. Um, hearing incredible claims of 400% boosts of oil flowing through the straight. Only problem is that's not backed up by any of the data we see. Um, the other thing that seems like we're only focused on the straight, not focused on the Red Sea.

Was just the other day a ship got hit from I want to say further than a thousand mile range Kind of quieting the talk that we'd figured out a route to get stuff through that Superceded or or or bested Iran's ability to reach

out and touch stuff And and some more anecdotal stuff on the straight that we'll get to later I got a little bit of inside baseball obviously can't confirm it so it's somewhat anecdotal but from pretty reliable sources with actual connections in some of the decision-making process. So we'll talk about that in just a little bit here. Other news, DXY effectively flat on the day, up a touch, but still sitting at low 99, 99.13. Like I said, Brent, or maybe I didn't mention this, but Brent pressing 90 again. Oil's still staying pretty quiet here. 10 year at 4.67, little pullback in yields.

I don't I don't know what to make of it. I think that yields are kind of noisy right now And I'll tell you I the yield I have more questions than not when it comes to yields and bonds right now I'm still pretty confused by what's going on and probably not If you're listening to this you probably are hoping that you can listen listen to somebody that's not confused but um

You know, I'll repeat it again. And I think Chase and I spoke about this yesterday, but Druckenmiller's piece, the op-ed he wrote for The Wall Street Journal really didn't help me out at all because he didn't clarify. To put it plainly, I think he's got a lot of the same questions that Chase and I do, which is I don't really know what to make of the yield situation because I thought that the announcement from Treasury specifically his percent was so out of left field. it caught me by surprise. And so, I mean, yeah, you know, the 30-year of 5.3, 5.31, 5.35 is not comfortable, but it wasn't an unruly sell-off. The announcement, I didn't see impetus from my side that warranted Besant and the Treasury's stance and position and plan.

And hence, I'm watching yields bounce around on a day-to-day basis, and I'm not really understanding the narrative. And I think that yields are in really what I'd like to say is kind of a macro place, meaning I think everybody is ascribing their own personal beliefs and their own tribal knowledge to yields and saying, oh, the yields are coming down because they sense a weakening in the economy and this and that. I'll tell you what, guys, the only consistent thing we have seen from yields over the last 15 years is the market doesn't like high yields. It shouldn't be news to anybody else. And then other than that, the yield curve effectively reflects what QE and the Fed wants it to reflect. Now, what we could have seen here is a breaking of that trend. And when we see Treasury respond in the way it

does, it makes you believe that even if we don't see the breaking of that trend, maybe they sense it happening because, you know, at the very least they're trying to jawbone a cap on rates.

i i just continue to be kind of confused by the movement rates i don't see i mean granted moving down from you know we're sitting with the thirty or five point one nine today so i mean you've pulled back eleven twelve thirteen basis points from that high print so i mean you know these aren't big moves at all. I don't see anything happening right now for those that are uber bearish yields i don't wear bonds i don't really see anything that should drive the thirty year yield to six five anytime soon. I certainly don't see anything on a macro level that would justify pulling it back to four and a half. At the same time, it's kind of a strange deal because, again, we know yields really aren't telling the same stories that they've told historically. You know, I mean, we could say, look, when you make a statement like that, you're bound to get pushed back from people like, oh, this guy doesn't know what he's talking about. We've just, you know, look, you had the inversion of the 10s and the 30s.

You know that was a hundred percent accurate about predicting or no, no, excuse me. It was at the six month and thirties It was the six month anyway. We had several of them, right? I believe it was the 10 and 30 inversion was right like 90% of the time I want to say the five the five and 30 was more the six month and third anyway It was either the six month and the 30 or the six Anyway, one of them hundred percent prediction of recessions It it it hit that level was that in 24, 25? Anyway, it hit that level pre-COVID, I believe. We had that inversion that lasted for an extended period of time. You didn't see the recession. So anyway, there's so much to look. I just think all you know is that discomfort and probably bad market responses every time yields push higher.

But you know when people are trying to bake yields into their economic outlooks and what this is what the feds gonna do and when yields go up this much You're gonna see a recession. I just I just don't see any evidence of that I and and to be truthfully I don't want to get too Existential or esoteric about it, but you know, I'm not really sure what yields tell us these days, you know And the reason I'm not sure about what yields tell us is you can't

sit there and say that they reflect the actual price of capital on the market or lending rates because That's not the primary force on yields right central banks are in government policy is and treasury policy regardless of what what kind well we have more control over that than anybody else but Yeah, anyway, I kind of got a little bit off course there, but I just yields are a mess and I just Because of that, do we look at that? Do we still pay attention to them? Yes, I still think they're a piece of data that you need to pay attention to. I just think if you're out there putting the same level of weight and the same level of, you know, the same veracity.

And the same faith in yields as far as what they're telling you about the underlying economy. I just think you're doing it wrong. And I could point to about 10 or 15 different examples of that being the case. Like I said, including these historical relationships between economic growth and yield curve inversions and all that kind of stuff that had been so consistent and held for 100, you know, I don't want to say hundreds. That's kind of hyperbolic, you know, but over 100 years in financial history here in the U.S. and those relationships have all been blown out. And so I still think you should look at yields I just I just think if you take a historic approach to yields And assign to them the same weight As as they have represented historically I just I think you're gonna get a lot of headaches a lot of false starts and and a lot of a lot of hoodwinking if you will Okay, so on to the rundown Bitcoin up one and a half gold up point three GDX 1.24, miners still looking really strong. Just short-term trading. If you're looking to add to miners, or if you feel like you've missed the move, you've seen a really big run today. Typically, if memory serves me correctly, when these things have been really running hot, when you're seeing them up one, one and a half percent on a day where gold is You know flat close to flat maybe slightly in the red that's kind of been a signal at least that you're a little overbought I mean just pull up a chart on those bad boys If I was trying to initiate you look we were we were we were adding some significant exposure in the precious metal mining sector Probably I want to say it's about three or four weeks ago This bounce you know it sort of like the run up from 2000 To 5500 on gold this bounce back has been been faster and stronger than I would have thought But you know as chase says we don't like to buy straight lines right straight elevators up So if you were looking to add here, I'd wait for a better entry position I mean you look at the chart

on those things. You've just bounced back I mean it looks like it looks as far as the bullish action. It looks like like a crypto chart of a while back Yeah, I mean yeah, let's see You had a relative bottom right around mid-July. And I mean, you've gone up, GDX is shot basically straight up with almost no pauses from 71 to 103. 103.69 is where you're close today. So, you know, you're looking at, oh, that'd be 35. I mean, you're, yeah, you're, I mean, you're looking at right at a 50% rally right off those bottoms.

little, I mean, a little bit of sideways consolidation there around 88 to 90, but not much. And then just whack. Now, the move makes sense to me just because even if you were staring at the realities of 35 to 400 gold, 3,500 to 4,000 gold for an extended period of time, when you looked at the relative valuations, the underlying miners, assuming you weren't looking at 200 oil, they were dirt cheap, right? Like we were saying all along. And, you know, unless you were thinking that gold was going back down to 2000, yeah, I love the valuation on those things. So, you know, if you're new to miners like that last pullback in gold, which, you know, if you were to look at it five years from now, you would call that a classic consolidation, especially if you compare it to typical gold bulls, right?

10 to 15% 20% pullbacks in the underlying metal are completely normal inside of bull markets 30 to 40% pullbacks in the underlying miners are completely normal I'll tell you what though I If you didn't buy that dip in miners and you're still looking to get in I just think you need to exit. Yeah, I think you need to Just work on a little more intestinal fortitude because one of the things and look it's easy to talk about successes and hindsight and you know, we're pretty We're pretty open and honest about the mistakes we make. But that's, you know, look, you can make money not buying value and not owning value. But one of the things that allows you the conviction to go in there and add the gold mining positions that have already made you a ton, right? That aren't as cheap as they were when you first got involved. But one of the things that gives you that conviction, I think everybody always struggles with this, like, you know, buying the dip and it's hard. Are you buying it when?

You know, it's halfway to bottom. Are you buying it at the bottom? You know what I mean? Like there's a lot of, and I just think that's where value

really comes in and helps. You know, we've talked a lot about this, how I rely way more. I build charts more into my process than I ever have before just because there is a lot of data in them. But value to me is always going to lead the charge, right? And it just, it's, look, there are a lot of guys that have been more successful investors than I have. Who who they look at valuations typically every good investor does but they you know, I would say drunken millers like this. He puts it much further down the list of important things If I was running a hedge fund and only managing accredited dollars, I probably would too I probably would too Because when you're running a hedge fund and you know, let's say at two and twenty or one and a half and fifteen or whatever the case may be That's hot money, right?

And, you know, it'd be interesting if I would love to ask Druckenmiller a whole list of questions. As a matter of fact, I've thought about like trying to like spam him, you know, with, with just like a letter a week, you know, until he agreed to come on and just, and just go to school, right? Just not try to talk, not try to relate, just be like, Hey, Stan, this probably going to be pretty boring for you, but I just kind of want to have a teaching session, you know? because I would love to hear if he agreed with that. Maybe he wouldn't. Maybe his style is his style, and he wouldn't change it for anything. Just when you're managing retirement dollars, I just feel like I need more green lights to go, especially when the majority of the money that we manage isn't accredited. So anyway, the point I was going to bring up about gold miners, and I think that this is where Obviously, buy the dip has been the thing for a very long time, right? The point I was trying to make is that any time you see a sell-off of any significance, right, whether it's 10%, 15%, you always want to be looking around to see what got blown up. And buying the dip on something like Master, right, the Bitcoin deal, buying the dip on a SpaceX, it's just far different than buying the dip on something like gold that or gold gold miners in particular that were just so ridiculously under value right because. Now anything can happen gold could have gone down and made it not a good place to step in and buy them but. When you're buying something is beat down that's trading there's a there's a there's a we've spoken about this company before but perfect example we added to one of our favorite gold mining holdings.

And it's a, it's not a small company, but it's, it looks pretty small compared to today. It's probably sitting around a one to 2 billion market cap. And there was another company recently that announced, I believe it was the building of an autoclave. An autoclave basically superheats gold ore, burns away a lot of the organic material and basically it's like a shortcut. to processing ore. And they're estimating that permitting, and these are semestimates. I don't have the exact numbers right in front of me, but they're estimating that permitting and building costs and all that kind of stuff will be around one and a half to 2 billion. That company we own just spent, I want to say 500 million, completely refurbishing their working and permitted autoclave. And the company right now basically is trading at replacement cost of their autoclave.

And this is a company that has north of two million ounces of gold in the ground at excellent grades. They got significant amounts of silver as a byproduct coming out of that property as well. So when I've got the chance to buy something like that, that is trading at a valuation that doesn't even reflect the fact that they have any gold, that they're producing any gold, that they have the ability to produce gold further. Gold may not be going down, but the company is in price according to its gold production. You're buying an autoclave and you're getting millions of ounces of gold and future production for free. At really solid grades, at one of the richest and most famous mining jurisdictions and districts in the world. You can't find deals like that in tech, right? And so one of the things I've learned is anytime you get that significant dip, go find something. And when you're really struggling, To find something it's usually because you're looking at things that even after the dip aren't trading at valuations that make a whole lot of economic sense. But the lesson is is usually there's something that is right usually there is a baby when bathwater gets thrown out the window at least there's one baby that goes with it right. And that's always my thought try to go find around go look or because when things bounce back usually those things do too.

So you get the bounce back without you know having to having a pucker so tight and be worried about You know because that's always they that's the way that I always think about this is if I get this wrong and this ends up keep going down and let's say I got to sell this with a 30% loss Or I have to

realize a substantial loss. What stories do I tell the clients, right? Hey, we took a shot at something because we thought it had bottomed and it didn't we lost another 40% and they're going yeah But you took a you took a shot at something that was trading at 350 times earnings You were gambling right now if we flip around and double the money does the position doubles over the next six months We look like geniuses right but again Right if it doubles over the next six months. You just got a 50% run off the bottom on gold miners in in a month with tremendous value and We're finally in a market and it's been like this for a little while now that is rewarding that value You know, I I'll just tell you for years. You know, I owned several stocks that I've told this story before whose revenues went up 50 Things virtually doubled whose margins improved balance sheet improved increased dividends all that kind of stuff and from and there was a lot of companies that you know from 2012 to 2020 Nobody cared. The only thing that happened was their PE ratio halved, right? Now had we held those companies and we did hold some of them, right? Eventually their stocks did move up and they will have they will reflect that reality but We haven't been in the market like that for a while. It is rewarding. There's a lot of goofy stuff going on. There's a lot of ridiculous stuff going on, but it is paying attention to value. It still is. So don't be afraid to buy those dips, especially when you've got, you know, when you've got those yields or excuse me, especially when you got that earnings, you know, underneath it, when you've got that valuation underneath it. And when you can find these scenarios, like, you know, I love finding things like that, like that gold company where you've got this autoclave, right? There are so few people out there that actually understand mining.

When you come to think about it, I think there are very few people in the world that are really true experts on any given sector. A lot of people will hold them up. As I've told you, I wouldn't consider myself an expert. I would consider a guy like Rick Rule an expert in this field. Do I know more about this than the average? Yeah, I know a lot more about it than the average investor. I don't put myself anywhere close to a Rick Rule type. I love finding things in these kind of backwater sectors that people don't know because you most people don't know how to value them. There's not a lot of other sectors where you would find a company of that size so

meaning a market cap of a billion dollars or greater. It is trading at the valuation of one asset they own and that asset is not the revenue driver.

Right. So you're buying an autoclave business at a very reasonable price at slightly less than replacement cost and you're getting millions of ounces of gold reserves with a solid management team with an excellent track record of production with current production current production ramping and You just you just don't find those value. You're not gonna find those valuations in tech companies, right? You're not gonna find those valuations in the triple Q's and in the AI world. So anyway always got to be buying the dip when we get significant pullbacks. And, you know, if you're like me and you're value driven, it's really hard to buy that dip when you see things that are really exorbitantly expensive. Look for the things that aren't, especially in this market. Opportunity abounds. The opinions expressed in this program are for general informational purposes only and are not intended to provide specific advice or recommendations for any individual or on any specific security. Any references to performance of securities are thought to be materially accurate and actual performance may differ.

So looking at the overall market though, you know, I don't see a whole lot of reasons to be exceptionally bearish I mean, I don't really see any reasons to be exceptionally bearish here, especially looking at the charts I don't think I don't see any reasons to be exceptionally bullish here considering, you know all the different issues that we talk about all the time valuations If you put a gun to my head, I think the odds are market will probably drift higher baby, you know pending and and and obviously allowing for macro economic developments. You know, I just, we're looking at a chessboard right now. We're a whole lot of different things going to happen. And so, you know, as always, the world could look completely different the next six months. You know, but you're looking at a market that is basically just kind of, you know, set a mark earlier in the year and has bounced it set off it and gone back down and gone back up. I don't see anything breaking out in a really Sustained way that being said some of those some of those software companies a couple of our favorites that we've talked about docusign adobe they've ripped really hard i think adobe is about. Forty some percent now off its bottom. We're up nicely in it i wish we would have.

Waited to buy it a little bit sooner, but you know we bought the dip on that bad boy picked up pretty good docusign we pinned the bottom of that thing a little bit better. Um, that's up a similar amount. You saw the results for for, um, sales force. You know, and then I pop a look at sales force. I thought their margins were a little bit better than I expected. I didn't dig into them. They're saying 31% net margins. I'd want to dig into the investment side and see what else is going. into that number, it seemed a little rich to me. You know, then you flip around, you're looking at 11% revenue growth. So I'd really like to see what their net margins are looking at, like over the next two years. But, you know, Salesforce is back up to 22 times earnings, which is not expensive at all. I don't think it's exorbitantly expensive here. That being said, I just, you know, one of the things we've been talking about for a long time, and it seems like it's bearing out at least to This first half of the year and we'll see what the second half looks like but I just I think that I I think that this market It's just gonna be hard-pressed to deliver you those blowout returns At least this year, you know, I like you know, I mean if the if the triple Q's aren't up 25% here now They're up 17% on the year 17.9. I want to say so it's not like they're having a bad year but You know go comp them to the international markets still just to say you know We're bringing up the rear and when you look at the fundamental side of it. It's pretty obvious Why and that's why I said it's you know, it's kind of nice that markets are reflecting that value But here are my notes. I had breakout or fake out. I yeah, I don't really know I just again I just put a lot of that stuff in the two hard pile When I see compelling charts now the one thing is put that sales force chart and I said that chase He and I are actually going to be discussing that a little bit more this evening I hate Mark Benioff, but there's a certain satisfaction of making money off of companies that you don't like, especially when they're run by people you don't like. I don't have anything against Mark Benioff. I just think he's a complete snake. I think the guy is like the walking poster child for Silicon Valley.

And how those I feel like they're completely non principled guys and they'll say whatever they have to say to get their stock up higher And get that extra billion on their net worth. I just I just Nothing personal against him. I don't think he's a horrible human being or anything like that I just think he's sleazy So but you know if if the chart looks like it could be extraordinarily compelling you've had a really you know That's that stock's been taking it

in the shorts for a while now And I have not done any deep dive research on it, so I'm not recommending that to anybody. But there's some, I will say this, when you look at the revenue growth numbers, I wouldn't be buying it betting on multiple expansion. I wouldn't be buying it betting on the fact that it's gonna go back to 50 times earnings. It certainly could in this business. I mean, Tesla's still trading at 300 times earnings, right? So there's no limiting factor on insane prices that people are gonna pay.

But I will say that's interesting as much as I've begged on Salesforce that chart that valuation and more importantly those net margins I again, I don't know if they're real I got to dig into it. Maybe they're that maybe they looked really good this queue for adjustments or one offs who knows but That is one that we're gonna take a deeper look at The straight and and this is kind of what I'll say to close again Look this is anecdotal by nature because I wasn't there. I didn't hear this person talk, but And I am not an important person obviously But because of the podcast and relationships I have with other radio hosts and some of the work that we do an advertising work that we do on other radio shows another podcast I've had the privilege of having connections to people that I otherwise never would have met and those people actually know some people in the know and some of those people have been incredible sources of information for us in the past and They've been very trustworthy and very, very reliable. Haven't told me anything I didn't want to hear. Or excuse me, nothing that they told me ended up being something that was false or, you know, a false flag, reliable folks. And serious people that are trying to get it right, they're not trying to be first, right? One of those sources was talking to me that he got some additional color on the decision point to go into Iran. And I thought this was really interesting.

Right after things started going sideways, General Dan Cain made some comments that kind of raised some eyebrows with me because he didn't beat up on Trump's decision to go in there. But it certainly felt like he was doing his best to create a little bit of distance between him and the policy choice or the decision to go. He made some comments that made him sound more like a politician than a general. Not saying that that's a bad thing. Just just like he was trying to get some distance from it. Well Very recently one of those reliable sources of mine said that they had got some additional

color on that conversation and that what the biggest voice against going was JD Vance and The thing that pushed Trump now, this is what they're telling me that actually what pushed Trump over the edge and made him decide to go was Dan Cain was like, hey, we can take care of the straight We can open the straight. I thought that was fascinating because his public comments Didn't reflect that let's put it that way. He didn't say that he did say that he certainly didn't say he didn't but his public comments did not reflect that and This just adds to this story and and I'll continue to kind of kind of stand on this. I You know, I like I said, I'd loved it. There's all these conversations that you'd love to talk about I would love to know how that decision was made. I just I Find it fascinating. I'm you know, I've probably said this too many times, but I'm a guy that in terms of risk reward. And I just, that will always be like deciding to, to run four go routes and air the ball up when you're up by two touchdowns and with eight minutes left to go in the fourth quarter, it's like, well, it may not cost you the game, but why would you be taking that risk? You know, if you don't connect on these deep shots, you're going to stop the clock and give them more time. You might throw a pick. It just doesn't make any sense, right? So pound the ball, run out the clock.

It just seemed like you were trying to thread a needle and if you didn't thread the needle it was gonna be disastrous and a giant pain in the tail and put costly politically and if it worked You know, I don't know if it worked you got rid of a bad regime but And had you got rid of that regime I'd have been thrilled But if it didn't work well, you know, if we got rid of the Iranian regime You know what kind of and don't take that they're bad guys and they right But but what difference would it make in everyday Americans lives? Right versus if you take that risk and you get mired down to two or three two to three week war becomes a seven month engagement where we're at with no real end in sight and Look, I don't think this is gonna go on for 15 years. I'm not saying that But what are the risks of that? Well, the risks are substantially higher inflation food costs oil shortages huge political ramifications are possible you know One of the risks of this move was Trump not being able to you know thinking about it in terms from his administration Trump not being able to do anything else that he wanted to get done or any of his priorities coming into this Coming into this term You know because he loses call you know I'm saying like so when you look and

there were there were many outcomes there were many results That you know when you were wargaming this out there were many ways for this end for this to end really badly for for the American people You know, especially at a cultural time like this where people are decrying capitalism pushing for socialism communism all those different things Anyway, you guys have heard my thoughts that I don't want to go around around on this but the more and more I hear and the more information that comes out It's just more of a head scratcher, right? Just I just don't see the upside and I see tremendous levels of downside People like oh get rid of look I know I get it getting rid of Iran getting rid of the proxies You know and I'm extraordinarily sympathetic to the people and special forces that are like at all costs get rid of these guys You haven't lost buddies to their to their proxy fighters I get all that but I'm just I look at what America is risking right now in terms of culturally economically all those kinds of things and I just I continue to see that move is just just a giant head scratcher so That's it. He's still in the quiet time of summer here I really wouldn't expect a whole lot again except on the geopolitical side of things And quite honestly, I'm really interested to see the way this market starts trading middle of September to the to the middle of October That's gonna be an interesting 30 days, maybe nothing happens, but just seasonally, those are pretty bad days for the market generally. We're at an interesting level here. And if you break to new high hits here in that seasonal level, again, you're just playing charts here, but that would lead me to believe that you got a pretty good shot at having a pretty strong finish to the end of the year. Again though, if we got a strong finish, I got to see US markets really rip and rally.

For a sustained period of time without internationals and natural resources and precious metals and all that kind of stuff ripping with them before I'm gonna change my mind which is if you think you're gonna get a strong rally to the end of the year in US equities I'd rather plan via internationals and precious metals and and It's been almost a two-year run now where that's been the right answer when you look at the deltas and valuations all the other things we've talked about It still continues to back that up. So until I see that not be the case I I think if you're buying the dip in the US, I think you're still doing it wrong. So anyway, as always, you can follow us on social media. I'm at KYR Radio on X Chases at Pinecone Macro. Get the video feed for the podcast on YouTube. Just search Know Your Risk

podcast. Try to put some really interesting interviews, trying to get our old friend to the show, Luke Roman on again. It's just been a couple of years since I've talked to Luke. So keep an eye out for some of those new interviews that we're hopefully going to be putting up here in the next week or so.

Anyway, have a wonderful evening. We'll see you tomorrow. You're listening to Know Your Wrist Podcast. Download and subscribe to KnowYourWistPodcast.com.